

Task 6 Operational and Commercial Diagnosis

May contribution profit fell by \$4,393.04. The evidence points to a combined decline in revenue yield, fraud decisions and processing performance. Processing cost increased, but it did not explain most of the loss.

Driver tests

Type	Driver	April	May	Change	What the result means
Operational	Average processing time	572 ms	1,550 ms	+979 ms	Strong May deterioration
Operational	Processing cost	\$15,186.63	\$16,226.72	+\$1,040.09	Contributed, but explains only part of the loss
Operational	Nova Processing profit	\$2,146.69	\$163.91	-\$1,982.78	Largest provider decline
Commercial	Fee revenue yield on GPV	1.47%	1.28%	-0.19 pp	Material pressure on revenue
Risk	Review and decline rate	10.20%	21.03%	+10.84 pp	Tighter controls are plausible
FX	Settlement conversion variance	-\$2,563.61	-\$1,889.54	+\$674.07	Improved, so it did not cause the decline
Chargebacks	Observed chargeback cost	\$9,797.47	\$8,199.06	-\$1,598.41	Cost fell, so it was not the main cause

Stakeholder assessment

Stakeholder	Assumption	Evidence	Judgement
CFO	Merchant pricing is the problem	Fee yield fell by 0.19 percentage points	Partly supported
Head of Payments	Routing and processing cost is the main cause	Cost rose \$1,040 versus a \$4,393 profit decline	Materially weakened
Risk Head	Fraud controls caused false declines	Review and decline rate doubled, but no true fraud outcome is available	Plausible, not proven
Data Head	Reporting cannot be trusted	Quality issues exist, but the trusted model still shows the same decline	Partly supported

Conclusion

May deterioration was not caused by one factor. Lower fee yield, more fraud reviews and declines, and slower processing occurred together. Chargeback cost and FX variance improved, so they do not explain the fall.
Assumption weakened: The Head of Payments' view that routing and processing cost was the main cause. Processing cost rose by \$1,040.09, only about 24% of the \$4,393.04 profit decline.
Evidence limits: Route cost has no effective date, so a May price change cannot be proven. Fraud outcomes are unavailable, so false declines cannot be confirmed.